© 2021 Cengage Learning, Cengage Learning

1-1b Global Business and Emerging Economies

Global Business also differs from other books on IB because most of them focus on competition in developed economies. Here, by contrast, we devote extensive space to competitive battles waged throughout

emerging economies (A term that has gradually replaced the term "developing countries" since the 1990s.)

, a term that has gradually replaced the term "developing countries" since the 1990s. Another commonly used term is

emerging markets (A term that is often used interchangeably with "emerging economies.")

(see PengAtlas Map 1). How important are emerging economies? Collectively, they command 48% of world trade, attract 60% of FDI inflows, and generate 40% FDI outflows. Overall, emerging economies contribute approximately 50% of the global gross domestic product (GDP). In 1990, they accounted for less than one-third of a much smaller world GDP. Note that this percentage is adjusted for

purchasing power parity (PPP) (A conversion that determines the equivalent amount of goods and services that different currencies can purchase.)

, which is an adjustment to reflect the differences in cost of living (see In Focus 1.1). Using official (nominal) exchange rates without adjusting for PPP, emerging economies contribute about 30% of the global GDP. Why is there such a huge difference between the two measures? Because the cost of living (such as housing and haircuts) in emerging economies tends to be lower than that in developed economies. For instance, US$1 spent in Mexico can buy a lot more than US$1 spent in the United States.

In Focus 1.1

Setting the Terms Straight

GDP, GNP, GNI, PPP—there is a bewildering variety of acronyms that are used to measure economic development. It is useful to set these terms straight before proceeding.

Gross domestic product (GDP) (The sum of value added by resident firms, households, and governments operating in an economy.)

is measured as the sum of value added by *resident* firms, households, and governments operating in an economy. For example, the value added by foreign-owned firms operating in Mexico would be counted as part of Mexico's GDP. However, the earnings of *non-resident* sources that are sent back to Mexico (such as earnings of Mexicans who do not live and work in Mexico, and dividends received by Mexicans who own non-Mexican stocks) are not included in Mexico's GDP. One measure that captures this is

gross national product (GNP) (GDP plus income from non-resident sources abroad.)

. Recently, the World Bank and other international organizations have used a new term,

gross national income (GNI) (GDP plus income from non-resident sources abroad. GNI is the term used by the World Bank and other international organizations to supersede the term GNP.)

, to supersede GNP. Conceptually, there is no difference between GNI and GNP. What exactly is GNI/GNP? It comprises GDP plus income from non-resident sources abroad.

While GDP, GNP, and now GNI are often used as yardsticks of economic development, differences in cost of living make such a direct comparison less meaningful. A dollar of spending in Thailand can buy a lot more than in Japan. Therefore, conversion based on purchasing power parity (PPP) is often necessary. The PPP between two countries is the rate at which the currency of one country needs to be converted into that of a second country to ensure that a given amount of the first country's currency will purchase the same volume of goods and services in the second country (see Chapter 7 for details). According to the International Monetary Fund (IMF), the Swiss per capita GDP is US$81,276 based on official (nominal) exchange rates—*a lot higher* than the official US per capita GDP of US$53,001. However, everything is more expensive in Switzerland. A Big Mac costs US$6.83 in Switzerland versus US$4.80 in the United States. Thus, Switzerland's per capita GDP based on PPP shrinks to US$53,977—only slightly higher than the US per capita GDP based on PPP of US$53,001 (the IMF uses the United States as a benchmark in PPP calculation, which does not change from the nominal number).

One of the most recent and probably most important debates concerns the size of the Chinese GDP. Calculations based on the nominal exchange rates would find China's GDP to be 47% of the US GDP. But new calculations based on PPP released by the World Bank in 2014 reported China's GDP to be 87% as large as the US GDP. Given that the Chinese economy grows a lot more quickly than the US economy, some experts believe that China may become the world's largest economy by the time you read this book—as opposed to in the next decade or so (see the Closing Case). Overall, when you read statistics about GDP, GNP, and GNI, always pay attention to whether these numbers are based on official exchange rates or PPP, which can make a huge difference.

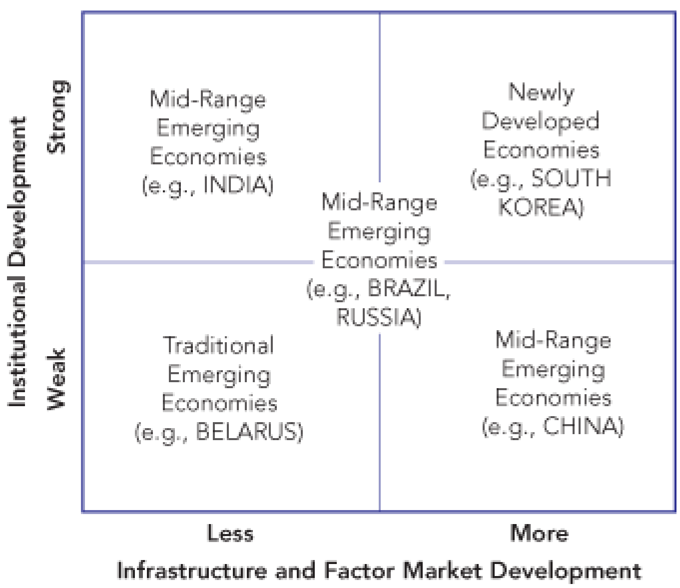
Sources: Based on (1) *Bloomberg Businessweek, 2014, Recognizing China's clout, May 12: 14; (2) Economist, 2014, Calculating European GDP, August 23: 68–69; (3) Economist, 2014, The dragon takes wing, May 3: 65; (3) Economist, 2014, The Big Mac index, July 26: 61; (4) International Monetary Fund, 2014, Report for Selected Countries and Subjects (PPP Valuation of Country GDP), October, Washington, DC.*

Of many emerging economies, Brazil, Russia, India, and China—commonly referred to as **BRIC** (Brazil, Russia, India, and China.) —command more attention. With the addition of South Africa, BRIC becomes **BRICS** (Brazil, Russia, India, China, and South Africa.) . As a group, BRICS countries have 40% of the world's population, cover a quarter of the world's land area, and contribute more than 25% of global GDP (on a PPP basis). In addition to BRICS, other interesting terms include BRICM (BRIC + Mexico), BRICET (BRIC + Eastern Europe and Turkey), and Next Eleven (N-11—consisting of Bangladesh, Egypt, Indonesia, Iran, Korea, Mexico, Nigeria, Pakistan, the Philippines, Turkey, and Vietnam).

Does it make sense to group together as "emerging economies" so many countries with tremendous diversity in terms of history, geography, politics, and economics? As compared to developed economies, the label of "emerging economies," rightly or wrongly, has emphasized the presumably homogenous nature of so many different countries. While this single label has been useful, more recent research has endeavored to enrich it. Specifically, the two dimensions illustrated in Figure 1.1 can help us differentiate various emerging economies. Vertically, the development of market-supporting political, legal, and economic institutions has been noted as a crucial dimension of institutional transitions. Horizontally, the development of infrastructure and factor markets is also crucial.

Figure 1.1

A Typology of Emerging Economies



Source: Adapted from R. Hoskisson, M. Wright, I. Filatotchev, & M. W. Peng, 2013, Emerging multinationals from mid-range economies: The influence of institutions and factor markets (p. 1297), *Journal of Management Studies*, 50: 1295–1321.

Traditional (or stereotypical) emerging economies suffer from both the lack of institutional development and the lack of infrastructure and factor market development. Most emerging economies 20 years ago would have fit this description. Today, some emerging economies still have made relatively little progress along these two dimensions (such as Belarus and Zimbabwe).

However, much has changed. A great deal of institutional development and infrastructure and factor market development has taken place. Such wide-ranging development has resulted in the emergence of a class of *mid-range* emerging economies that differ from both traditional emerging economies and developed economies. For example, the top-down approach to government found in China has facilitated infrastructure and factor market development. But China's political and market institutions tend to be underdeveloped relative to physical infrastructure. Alternatively, India has strong political institutions supporting market institutions. While Indian government policy reforms have facilitated better market institutions and associated economic development, world-class physical infrastructure is lacking. In the middle area of Figure 1.1, Brazil and Russia are examples, with democratic political institutions and some infrastructure and factor market development. Finally, some economies have clearly graduated from the "emerging" phase and become what we call "newly developed economies." South Korea is such an exemplar country.

Overall, the

Great Transformation (Transformation of the global economy embodies by the tremendous shift in economic weight and engines of growth toward emerging economies in general and BRIC(S) in particular.)

of the global economy is embodied by the tremendous shift in economic weight and engines of growth toward emerging economies in general and BRIC(S) in particular. Led by BRIC(S), emerging economies accomplished "the biggest economic transformation in modern economy," according to the *Economist*. In China, per capita income doubled in about ten years, an achievement that took Britain 150 years and the United States 50 years as they industrialized. Throughout emerging economies, China is not alone. While groupings such as BRIC(S) and N-11 are always arbitrary, they serve a useful purpose—namely, highlighting the economic and demographic scale and trajectory that enable them to challenge developed economies in terms of weight and influence in the global economy.

Of course, the Great Transformation is not a linear story of endless and uniform high-speed growth. All BRIC(S) countries and most emerging economies have experienced some significant slowdown recently. It is possible that they may not be able to repeat their extraordinary growth sprints of the decade between 1998 (the Asian economic crisis) and 2008 (the global financial crisis). For example, in 2007, Brazil accomplished an annual economic growth of 6%, Russia 8%, India 10%, and China 14%. In 2017, they would be lucky to achieve half of these enviable growth rates. However, it seems that emerging economies *as a group* are destined to grow both their absolute GDP and their percentage of world GDP relative to developed economies. The debate centers on how much and how quickly (or slowly) such growth will be in the future (see the Closing Case).

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may by reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.